



ARIZONA HOUSE OF REPRESENTATIVES FLOOR AMENDMENT EXPLANATION

57th Legislature, 2nd Regular Session

Majority Research Staff

**HCR2007: reporting; teacher salary increases; schools
S/E: school districts; instructional expenses; requirements**

GRESS FLOOR AMENDMENT

1. Applies the direct instructional expenses requirement to each school district with a student count of at least 7,500, rather than 500, or that operates a school in a county with a population of at least 500,000.
2. Removes the requirement that a school district spend at least 50% of its operational spending on teacher pay.
3. Removes the requirement for a school district to use unrestricted operational spending to comply with the direct instructional expenses requirement.
4. Prohibits the Auditor General (OAG), if a school district reduces the portion of its operational spending on direct instructional expenses, from considering the reduction when calculating the amount of the required annual direct instructional expenses increase.
5. Stipulates that if a school district reduces the portion of its operational spending on direct instructional expenses, the school district may count only the portion of an increase in operational spending on direct instructional expenses for a subsequent year that results in an increase above the portion of operational spending before the reduction.
6. Deletes the state aid withholding penalty and direct instruction fund requirements for a school district that the OAG identifies did not comply with the direct instructional expenses requirement.
7. Directs the Arizona Department of Education (ADE) to reduce, if the school district receives Classroom Site Fund (CSF) monies and the OAG determines a school district did not comply with the direct instructional expenses spending requirement in the immediately preceding fiscal year, a school district's CSF allocation for the budget year as follows:
 - a. 25% of the amount that would otherwise be allocated if the school district did not comply for one year;
 - b. 50% of the amount that would otherwise be allocated if the school district did not comply for two years;
 - c. 75% of the amount that would otherwise be allocated if the school district did not comply for three years; and

- d. an amount equal to the amount that would be otherwise allocated if the school district did not comply for at least four years.
- 8. Instructs Joint Legislative Budget Committee staff to include in the CSF carryforward the monies that are not distributed because of the required reductions.
- 9. Modifies waiver procedures by authorizing the Superintendent of Public Instruction (SPI) to waive the CSF reduction requirements, except that:
 - a. the SPI may not issue more than two waivers for a school district during any 10-year period, unless otherwise allowed; and
 - b. if the SPI issues a second waiver for a school district more than four years after the SPI issues a first waiver, the SPI may issue another waiver for the school district at any time during the 10-year period beginning the date the SPI issues the second waiver.
- 10. Clarifies the state or a state officer or agency is not required to maintain the CSF or allocate monies for a CSF except as otherwise provided by state law.
- 11. Requires the OAG to define *direct instructional expenses* and *operational spending*.

GRESS FLOOR AMENDMENT
HOUSE OF REPRESENTATIVES AMENDMENTS TO H.C.R. 2007
(Reference to APPROPRIATIONS S/E Committee amendment)

Amendment instruction key:

[GREEN UNDERLINING IN BRACKETS] indicates text added to statute or previously enacted session law.

[Green underlining in brackets] indicates text added to new session law or text restoring existing law.

[~~GREEN STRIKEOUT IN BRACKETS~~] indicates new text removed from statute or previously enacted session law.

[~~Green strikeout in brackets~~] indicates text removed from existing statute, previously enacted session law or new session law.

<<Green carets>> indicate a section added to the bill.

<<~~Green strikeout in carets~~>> indicates a section removed from the bill.

1 Strike everything after the resolving clause and insert:

2 "1. Under the power of the referendum, as vested in the
3 Legislature, the following measure, relating to school district budgets,
4 is enacted to become valid as a law if approved by the voters and on
5 proclamation of the Governor:

6 AN ACT

7 AMENDING TITLE 15, CHAPTER 9, ARTICLE 1, ARIZONA REVISED
8 STATUTES, BY ADDING SECTION 15-917; RELATING TO SCHOOL
9 DISTRICT BUDGETS.

10 Be it enacted by the Legislature of the State of Arizona:

11 Section 1. Title 15, chapter 9, article 1, Arizona
12 Revised Statutes, is amended by adding section 15-917, to
13 read:

14 15-917. Operational spending; direct instructional
15 expenses; enforcement; waivers

16 A. EACH SCHOOL DISTRICT THAT HAS A STUDENT COUNT OF AT
17 LEAST [SEVEN THOUSAND] FIVE HUNDRED [OR THAT OPERATES A SCHOOL
18 IN A COUNTY WITH A POPULATION OF AT LEAST FIVE HUNDRED
19 THOUSAND PERSONS] SHALL~~[-~~

20 ~~1.]~~ SPEND AT LEAST SIXTY PERCENT OF THE SCHOOL
21 DISTRICT'S OPERATIONAL SPENDING ON DIRECT INSTRUCTIONAL
22 EXPENSES.

23 ~~[2. SPEND AT LEAST FIFTY PERCENT OF THE SCHOOL~~
24 ~~DISTRICT'S OPERATIONAL SPENDING ON TEACHER PAY.]~~

25 ~~B.]~~ BEGINNING IN FISCAL YEAR 2027-2028, ANY SCHOOL
26 DISTRICT THAT ~~[IS NOT COMPLYING WITH SUBSECTION A OF THIS~~
27 ~~SECTION]~~ [SPENDS LESS THAN SIXTY PERCENT OF THE SCHOOL
28 DISTRICT'S OPERATIONAL SPENDING ON DIRECT INSTRUCTIONAL
29 EXPENSES] SHALL INCREASE THE PORTION OF THE SCHOOL DISTRICT'S
30 OPERATIONAL SPENDING THAT IS SPENT ON DIRECT INSTRUCTIONAL
31 EXPENSES ~~[OR TEACHER PAY, OR BOTH,]~~ EACH YEAR BY AT LEAST

ONE-HALF OF ONE PERCENT ~~[OF THE PORTION OF THE SCHOOL DISTRICT'S OPERATIONAL SPENDING THAT IS SPENT ON DIRECT INSTRUCTIONAL EXPENSES OR TEACHER PAY, OR BOTH, IN THE 2024-2025 SCHOOL]~~ [PER] YEAR UNTIL THE SCHOOL DISTRICT IS IN COMPLIANCE~~[, SUBJECT TO THE FOLLOWING:]~~ [.]

[1.] IF A SCHOOL DISTRICT INCREASES THE PORTION OF THE SCHOOL DISTRICT'S OPERATIONAL SPENDING ~~[REQUIRED BY SUBSECTION A OF THIS SECTION]~~ [ON DIRECT INSTRUCTIONAL EXPENSES] BY MORE THAN ONE-HALF OF ONE PERCENT ~~[IN ANY]~~ [PER] YEAR, THE SCHOOL DISTRICT MAY COUNT THE PORTION OF THE INCREASE THAT EXCEEDS ONE-HALF OF ONE PERCENT TOWARD ANY INCREASE THAT IS REQUIRED IN A SUBSEQUENT YEAR. ~~[A SCHOOL DISTRICT SHALL USE UNRESTRICTED OPERATIONAL SPENDING TO COMPLY WITH THIS SUBSECTION AND MAY NOT COUNT EXPENDITURES FROM THE DIRECT INSTRUCTION FUND IN THE INCREASES REQUIRED BY THIS SUBSECTION.]~~

[2. IF A SCHOOL DISTRICT REDUCES THE PORTION OF THE SCHOOL DISTRICT'S OPERATIONAL SPENDING ON DIRECT INSTRUCTIONAL EXPENSES, BOTH OF THE FOLLOWING APPLY:

(a) THE AUDITOR GENERAL MAY NOT CONSIDER THE REDUCTION WHEN CALCULATING THE AMOUNT OF THE ANNUAL INCREASE THAT IS REQUIRED BY THIS SUBSECTION FOR THE SCHOOL DISTRICT.

(b) THE SCHOOL DISTRICT MAY COUNT ONLY THE PORTION OF AN INCREASE IN OPERATIONAL SPENDING ON DIRECT INSTRUCTIONAL EXPENSES FOR A SUBSEQUENT YEAR THAT RESULTS IN AN INCREASE ABOVE THE PORTION OF OPERATIONAL SPENDING BEFORE THE REDUCTION.]

~~[C.]~~ [B.] IF ~~[IN THE ANNUAL REPORT REQUIRED BY SECTION 41-1279-03,]~~ THE AUDITOR GENERAL ~~[IDENTIFIES]~~ [DETERMINES THAT] A SCHOOL DISTRICT ~~[THAT]~~ DID NOT COMPLY WITH THE REQUIREMENTS PRESCRIBED BY SUBSECTION ~~[B-]~~ [A] OF THIS SECTION [IN THE IMMEDIATELY PRECEDING FISCAL YEAR AND IF THE SCHOOL DISTRICT RECEIVES MONIES FROM THE CLASSROOM SITE FUND ESTABLISHED BY SECTION 15-977], ~~[THE AUDITOR GENERAL SHALL NOTIFY THE DEPARTMENT OF EDUCATION AND:~~

1. IN THE NEXT FISCAL YEAR AFTER THE AUDITOR GENERAL NOTIFIES THE DEPARTMENT OF EDUCATION, THE DEPARTMENT SHALL WITHHOLD FROM THE STATE AID THAT THE SCHOOL DISTRICT WOULD OTHERWISE RECEIVE AN AMOUNT EQUAL TO THE GREATER OF:

(a) THE DIFFERENCE BETWEEN THE AMOUNT THAT THE SCHOOL DISTRICT WAS REQUIRED TO SPEND ON DIRECT INSTRUCTIONAL EXPENSES PURSUANT TO SUBSECTION B OF THIS SECTION AND THE AMOUNT THAT THE SCHOOL DISTRICT ACTUALLY SPENT ON DIRECT INSTRUCTIONAL EXPENSES FOR THE SCHOOL YEAR THAT IS THE SUBJECT OF THE AUDITOR GENERAL'S DETERMINATION;

(b) THE DIFFERENCE BETWEEN THE AMOUNT THAT THE SCHOOL DISTRICT WAS REQUIRED TO SPEND ON TEACHER PAY PURSUANT TO SUBSECTION A OF THIS SECTION AND THE AMOUNT THAT THE SCHOOL DISTRICT ACTUALLY SPENT ON TEACHER PAY FOR THE SCHOOL YEAR THAT IS THE SUBJECT OF THE AUDITOR GENERAL'S DETERMINATION;

1 ~~2. IF THE SCHOOL DISTRICT IS SUBJECT TO A WITHHOLDING~~
2 ~~PURSUANT TO THIS SUBSECTION, THE SCHOOL DISTRICT SHALL~~
3 ~~ESTABLISH A DIRECT INSTRUCTION FUND. THE SCHOOL DISTRICT~~
4 ~~SHALL USE MONIES FROM THE FUND ONLY FOR DIRECT INSTRUCTIONAL~~
5 ~~EXPENSES.~~

6 ~~3.] THE DEPARTMENT SHALL REDUCE THE SCHOOL DISTRICT'S~~
7 ~~[GENERAL BUDGET LIMIT CALCULATED] [ALLOCATION] PURSUANT TO~~
8 ~~SECTION [15-947] [15-977, SUBSECTION G FOR THE BUDGET YEAR] BY~~
9 ~~THE [TOTAL AMOUNT THAT IS WITHHELD PURSUANT TO PARAGRAPH 1 OF~~
10 ~~THIS SUBSECTION.~~

11 ~~4. THE DEPARTMENT SHALL RETURN TO THE SCHOOL DISTRICT~~
12 ~~MONIES THAT ARE WITHHELD PURSUANT TO PARAGRAPH 1 OF THIS~~
13 ~~SUBSECTION AND THE SCHOOL DISTRICT SHALL DEPOSIT THE MONIES IN~~
14 ~~THE DIRECT INSTRUCTION FUND 2 OF THIS SUBSECTION.~~

15 ~~D. THE AUDITOR GENERAL SHALL:~~

16 ~~1. ANNUALLY DETERMINE WHETHER EACH SCHOOL DISTRICT IN~~
17 ~~THIS STATE IS IN COMPLIANCE WITH THE REQUIREMENTS PRESCRIBED~~
18 ~~BY SUBSECTION C, PARAGRAPH 2 OF THIS SECTION AND SHALL REPORT~~
19 ~~THE DETERMINATIONS TO THE DEPARTMENT OF EDUCATION, THE~~
20 ~~GOVERNOR, THE SPEAKER OF THE HOUSE OF REPRESENTATIVES, THE~~
21 ~~PRESIDENT OF THE SENATE AND THE JOINT LEGISLATIVE BUDGET~~
22 ~~COMMITTEE.~~

23 ~~2. DEFINE OPERATIONAL SPENDING FOR THE PURPOSES OF THIS~~
24 ~~SECTION.] [FOLLOWING AMOUNTS:~~

25 ~~1. IF THE SCHOOL DISTRICT DID NOT COMPLY FOR ONE YEAR,~~
26 ~~AN AMOUNT THAT IS EQUAL TO TWENTY-FIVE PERCENT OF THE AMOUNT~~
27 ~~THAT WOULD OTHERWISE BE ALLOCATED TO THE SCHOOL DISTRICT.~~

28 ~~2. IF THE SCHOOL DISTRICT DID NOT COMPLY FOR TWO YEARS,~~
29 ~~AN AMOUNT THAT IS EQUAL TO FIFTY PERCENT OF THE AMOUNT THAT~~
30 ~~WOULD OTHERWISE BE ALLOCATED TO THE SCHOOL DISTRICT.~~

31 ~~3. IF THE SCHOOL DISTRICT DID NOT COMPLY FOR THREE~~
32 ~~YEARS, AN AMOUNT THAT IS EQUAL TO SEVENTY-FIVE PERCENT OF THE~~
33 ~~AMOUNT THAT WOULD OTHERWISE BE ALLOCATED TO THE DISTRICT.~~

34 ~~4. IF THE SCHOOL DISTRICT DID NOT COMPLY FOR AT LEAST~~
35 ~~FOUR YEARS, AN AMOUNT THAT IS EQUAL TO THE AMOUNT THAT WOULD~~
36 ~~OTHERWISE BE ALLOCATED TO THE DISTRICT.~~

37 ~~C. THE STAFF OF THE JOINT LEGISLATIVE BUDGET COMMITTEE~~
38 ~~SHALL INCLUDE MONIES THAT ARE NOT DISTRIBUTED BECAUSE OF~~
39 ~~REDUCTIONS REQUIRED BY SUBSECTION B OF THIS SECTION IN THE~~
40 ~~CARRYFORWARD FOR THE PURPOSES OF SECTION 15-977, SUBSECTION G,~~
41 ~~PARAGRAPH 1.]~~

42 ~~[E.] [D.] THE SUPERINTENDENT OF PUBLIC INSTRUCTION MAY~~
43 ~~WAIVE THE REQUIREMENTS PRESCRIBED BY SUBSECTION [e-] [B] OF~~
44 ~~THIS SECTION FOR A SCHOOL DISTRICT SUBJECT TO THE FOLLOWING:~~

45 ~~1. THE DURATION OF A WAIVER PURSUANT TO THIS SUBSECTION~~
46 ~~MAY NOT EXCEED ONE YEAR.~~

47 ~~2. THE SUPERINTENDENT OF PUBLIC INSTRUCTION MAY NOT~~
48 ~~ISSUE [A WAIVER] [MORE THAN TWO WAIVERS] FOR A SCHOOL DISTRICT~~
49 ~~[FOR MORE THAN TWO CONSECUTIVE YEARS.~~

50 ~~F. FOR THE PURPOSES OF THIS SECTION, "TEACHER PAY":~~

1 ~~1. INCLUDES:~~
2 ~~(a) MONIES SPENT BY A SCHOOL DISTRICT FOR TEACHER BASE~~
3 ~~SALARIES, PERFORMANCE PAY AND OTHER PAYMENTS TO TEACHERS THAT~~
4 ~~ARE NOT RELATED TO COCURRICULAR ACTIVITIES, ATHLETICS OR OTHER~~
5 ~~ADDITIONAL DUTIES AS DEFINED BY THE UNIFORM SYSTEM OF~~
6 ~~FINANCIAL RECORDS.~~
7 ~~(b) MONIES SPENT BY A SCHOOL DISTRICT FOR EMPLOYEE~~
8 ~~BENEFITS THAT TEACHERS RECEIVE.~~
9 ~~2. DOES NOT INCLUDE PAYMENTS TO OR COSTS INCURRED FOR~~
10 ~~BENEFITS THAT ARE PROVIDED TO SUBSTITUTE TEACHERS OR~~
11 ~~CONTRACTED TEACHERS.] [DURING ANY TEN-YEAR PERIOD, EXCEPT AS~~
12 ~~PROVIDED IN PARAGRAPH 3 OF THIS SUBSECTION.~~
13 ~~3. IF THE SUPERINTENDENT ISSUES A SECOND WAIVER FOR A~~
14 ~~SCHOOL DISTRICT MORE THAN FOUR YEARS AFTER THE DATE ON WHICH~~
15 ~~THE SUPERINTENDENT ISSUES A FIRST WAIVER FOR THE SCHOOL~~
16 ~~DISTRICT, THE SUPERINTENDENT MAY ISSUE ANOTHER WAIVER FOR THE~~
17 ~~SCHOOL DISTRICT AT ANY TIME DURING THE TEN-YEAR PERIOD THAT~~
18 ~~BEGINS ON THE DATE THAT THE SUPERINTENDENT ISSUES THE SECOND~~
19 ~~WAIVER.~~
20 ~~E. THIS SECTION DOES NOT REQUIRE THIS STATE OR AN~~
21 ~~OFFICER OR AGENCY OF THIS STATE TO MAINTAIN THE CLASSROOM SITE~~
22 ~~FUND ESTABLISHED BY SECTION 15-977 OR ALLOCATE MONIES FOR A~~
23 ~~CLASSROOM SITE FUND EXCEPT AS OTHERWISE PROVIDED BY THE LAWS~~
24 ~~OF THIS STATE.~~
25 ~~F. THE AUDITOR GENERAL SHALL DEFINE "DIRECT~~
26 ~~INSTRUCTIONAL EXPENSES" AND "OPERATIONAL SPENDING" FOR THE~~
27 ~~PURPOSES OF THIS SECTION.]~~
28 2. The Secretary of State shall submit this proposition to the
29 voters at the next general election as provided by article IV, part 1,
30 section 1, Constitution of Arizona."

31 Enroll and engross to conform
32 Amend title to conform

MATT GRESS

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